Disclosure was opaque, and few investors were aware of the total of embedded costs. According to a study of all SPACs that merged over an 18-month period when SPACs were hot, after accounting for the sponsor's interest, the investor warrants, the bankers' fees, and other fees, the median public investor's interest had been diluted to only \$5.70 of the initial \$10.[12] This amounted to a whopping 43% reduction in intrinsic value.[13] Not only were investors unaware of the expenses, many had believed that SPACs were cost-effective compared with conventional IPOs, when in fact they were considerably more expensive. Michael Klausner, a Stanford Law School professor who examined SPACs in detail, found that, "SPACs are far less transparent than they could be with respect to their embedded costs."[14]

Owing to the holes in applicable regulation, sponsors had the motive and the opportunity to aggressively promote their mergers. The sponsors conducted road shows to sell their deals, similar to road shows for conventional IPOS—except that SPACs were free to indulge in optimistic—at times, wildly optimistic—forecasts. Coinciding with the posteconomic stimulus market rally in the second half of 2021, Wall Street's eagerness to exploit this loophole was unrestrained.

Many SPACs were promoted by celebrities, such as the rapper Shawn "Jay-Z" Carter (for a cannabis company), investor and reality television personality Matt Higgins, home décor celebrity Martha Stewart, hedge fund titan Bill Ackman, quarterback Patrick Mahomes, and tennis star Serena Williams. SPACs were financed by the bluest chip underwriters, led by Citigroup, Goldman Sachs, and Credit Suisse.

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[12] Klausner, et al., op. cit., abstract. Average net cash positions were even worse; that is, the average cash position of all SPACs in the study, before they merged, was only \$4.10.

[13] According to Klausner (p. 10), post-merger SPAC results were "highly correlated" with net cash (SPACs with higher expenses did worse). Presumably, targets were aware of how much cash SPACs actually delivered and negotiated deals that allocated the expense burden entirely to the SPAC shareholders.

[14] Ibid., 8.